

CHARACTERISTICS

Let us move ahead and understand some characteristics of gold. We will understand these from an investment perspective. We are only evaluating gold as an investment asset, and see where it fits in our Lazy Financial Plan.

SAFETY HAVEN

1

Across the globe, gold is considered a safe haven investment class. What are safe-haven investments? There are certain asset classes that people find psychologically safer and when all other assets go down, fear is at its peak and all that people want is the safety of money, they park their money in such asset classes. They sell other assets i.e. equity, mutual funds, fixed income, etc., and shift the money to such assets. Gold is the most common safety haven asset. Because of its safety haven perception, when prices of equity, bonds, real estate, etc fall and fear grips the market, demand for gold goes up. As a result, the prices of gold go up when everything goes down. Hence, gold becomes a great hedge on the portfolio of various investors.

